

Insurance FAQs for Chatbot RAG

200 Comprehensive Questions & Answers Across All Insurance Categories

General Insurance Basics

Q1: What is insurance?

A: Insurance is a legal agreement between you (the policyholder) and an insurance company (insurer) where you pay a premium in exchange for financial protection against specific risks or losses as defined in the policy.

Q2: Why do I need insurance?

A: Insurance protects you from unexpected financial losses due to accidents, illness, natural disasters, death, or other unforeseen events. Without insurance, a single major event could wipe out your savings or leave your family in financial distress.

Q3: What is a premium?

A: A premium is the amount you pay to the insurance company, typically monthly, quarterly, or annually, to keep your insurance policy active. The amount depends on the type of coverage, your risk profile, age, and other factors.

Q4: What is a deductible?

A: A deductible is the fixed amount you must pay out of pocket before your insurance coverage kicks in. For example, if your deductible is ₹5,000 and your claim is ₹30,000, you pay ₹5,000 and the insurer pays ₹25,000.

Q5: What is a policy?

A: An insurance policy is the formal written contract between you and the insurer. It outlines the terms, conditions, coverage, exclusions, premium amount, duration, and the process for filing claims.

Q6: What is a claim?

A: A claim is a formal request you submit to your insurance company asking for compensation or coverage for a loss or event that is covered under your policy.

Q7: What is a nominee in insurance?

A: A nominee is the person you designate to receive the insurance payout (death benefit or claim amount) in case of your death. You can nominate a family member such as a spouse, child, or parent.

Q8: What is the difference between insured and insurer?

A: The insured is the person or entity covered by the insurance policy, while the insurer is the insurance company that provides coverage and is responsible for paying valid claims.

Q9: What is the sum assured?

A: The sum assured (also called sum insured) is the fixed amount the insurance company guarantees to pay to the policyholder or nominee upon the occurrence of an insured event, such as death, accident, or illness.

Q10: What is a policy term?

A: The policy term is the duration for which the insurance coverage is active. For example, a life insurance policy may have a term of 20 years, after which the policy expires unless renewed.

Life Insurance

Q11: What is life insurance?

A: Life insurance is a contract where the insurer pays a lump sum amount (death benefit) to your nominated beneficiaries upon your death, in exchange for regular premium payments. It ensures financial security for your dependents.

Q12: What are the types of life insurance?

A: The main types are: Term Insurance (pure protection for a fixed period), Whole Life Insurance (coverage for your entire life), Endowment Plans (protection + savings), ULIPs (insurance + investment), and Money-Back Plans (periodic payouts).

Q13: What is term insurance?

A: Term insurance is a pure life cover that pays the death benefit to your nominee if you die within the policy term. It has no maturity benefit if you survive the term, but offers the highest coverage at the lowest premium.

Q14: What is the difference between term insurance and whole life insurance?

A: Term insurance covers you for a specific period (e.g., 20–30 years) and has no maturity benefit. Whole life insurance covers you for your entire life (up to age 99–100) and may include a savings or bonus component.

Q15: What is a ULIP?

A: A Unit Linked Insurance Plan (ULIP) is a product that combines life insurance with investment. A portion of your premium goes toward life coverage, and the rest is invested in equity, debt, or balanced funds. Returns depend on market performance.

Q16: What is an endowment plan?

A: An endowment plan is a life insurance policy that provides both a death benefit and a maturity benefit. If you survive the policy term, you receive the sum assured plus bonuses. It serves as a savings and protection tool.

Q17: How much life insurance coverage do I need?

A: A general rule is to have life coverage of at least 10–15 times your annual income. You should also account for outstanding debts, children's education, spouse's retirement needs, and inflation when calculating coverage.

Q18: What happens if I miss a premium payment on my life insurance?

A: Most policies have a grace period of 15–30 days after the premium due date. If you pay within the grace period, coverage continues. If not, the policy may lapse. You may be able to revive a lapsed policy within a specified period.

Q19: Can I get life insurance with a pre-existing condition?

A: Yes, but the insurer may charge a higher premium, exclude the specific condition from coverage, or reject the application depending on the severity of the condition. Disclosure of all medical conditions is mandatory.

Q20: What is a free-look period in life insurance?

A: The free-look period (usually 15–30 days from policy receipt) allows you to review the policy and return it if unsatisfied. The insurer refunds your premium after deducting minimal charges like stamp duty and medical exam costs.

Q21: What is a surrender value in life insurance?

A: Surrender value is the amount you receive if you voluntarily terminate your life insurance policy before its maturity. It is applicable only after you have paid premiums for a minimum period (usually 2–3 years). Term policies have no surrender value.

Q22: What is accidental death benefit rider?

A: An accidental death benefit rider is an add-on to your life insurance policy that pays an additional sum if death occurs due to an accident. For example, if your base cover is ₹50 lakh and the rider is ₹25 lakh, your family gets ₹75 lakh in case of accidental death.

Q23: Is life insurance payout taxable?

A: In India, the death benefit received by the nominee under a life insurance policy is generally exempt from income tax under Section 10(10D) of the Income Tax Act, subject to conditions. Maturity benefits may also be tax-exempt based on the premium-to-sum-assured ratio.

Health Insurance

Q24: What is health insurance?

A: Health insurance is a policy that covers your medical expenses, including hospitalization, surgeries, medications, and sometimes preventive care, in exchange for regular premium payments.

Q25: What is covered under a standard health insurance policy?

A: A standard policy typically covers: in-patient hospitalization, pre and post-hospitalization expenses, daycare procedures, ambulance charges, and sometimes maternity, dental, and vision (depending on the plan).

Q26: What is not covered in health insurance (exclusions)?

A: Common exclusions include: pre-existing diseases during the waiting period, cosmetic surgeries, self-inflicted injuries, injuries from war or terrorism, experimental treatments, and certain lifestyle diseases like obesity.

Q27: What is a waiting period in health insurance?

A: A waiting period is the time from the start of your policy during which certain conditions are not covered. Typically: 30 days for general illnesses, 2–4 years for pre-existing diseases, and 9 months for maternity benefits.

Q28: What is a cashless claim in health insurance?

A: In a cashless claim, you get treated at a network hospital and the insurer directly settles the bill with the hospital. You don't need to pay upfront (except for non-covered expenses). You must show your health card and get pre-authorization.

Q29: What is a reimbursement claim in health insurance?

A: In a reimbursement claim, you pay the hospital bill yourself and then submit the bills, discharge summary, and documents to the insurer, who reimburses the eligible amount after verification.

Q30: What is a network hospital?

A: A network hospital is a hospital that has a tie-up with your insurance company for cashless treatment. You can get treatment here without paying upfront. A list of network hospitals is available on your insurer's website or app.

Q31: What is the no-claim bonus (NCB) in health insurance?

A: NCB is a reward given by the insurer for not making any claims in a policy year. It usually increases your sum insured by 10–50% for each claim-free year, up to a maximum limit, without increasing the premium.

Q32: What is a co-payment in health insurance?

A: Co-payment (co-pay) is a clause where you bear a fixed percentage of the claim amount and the insurer pays the rest. For example, with a 10% co-pay on a ₹1,00,000 claim, you pay ₹10,000 and the insurer pays ₹90,000.

Q33: What is sub-limit in health insurance?

A: A sub-limit is a cap on specific expenses like room rent, surgery fees, or ICU charges. For example, if your policy has a room rent sub-limit of ₹3,000/day and the actual room costs ₹6,000/day, you pay the difference.

Q34: Can I cover my family under a single health insurance plan?

A: Yes, a family floater health insurance plan covers all family members under one policy with a shared sum insured. It's usually more affordable than individual plans for each member, and any member can use the full sum insured if needed.

Q35: What is a top-up health insurance plan?

A: A top-up plan provides additional coverage over and above a threshold (deductible). It activates only when a single claim exceeds the deductible amount. It's a cost-effective way to enhance your existing health coverage.

Q36: Can I port my health insurance policy to another insurer?

A: Yes, the IRDAI allows portability. You can switch insurers while retaining your accumulated waiting period benefits. You must apply for portability at least 45 days before your renewal date.

Q37: What documents are needed for a health insurance claim?

A: Typically required: claim form, hospital discharge summary, original bills and receipts, doctor's prescription, diagnostic test reports, policy document, and a valid ID proof. Additional documents may be required based on the treatment type.

Q38: What is pre-authorization in health insurance?

A: Pre-authorization (also called pre-approval) is the process of getting approval from your insurer before undergoing a planned medical procedure or hospitalization. It is mandatory for cashless claims at network hospitals.

Q39: Is mental health treatment covered under health insurance?

A: As per the Mental Healthcare Act 2017 and IRDAI guidelines, insurers are required to cover mental health conditions on par with physical health conditions. However, coverage specifics vary by plan, so check your policy details.

Q40: What is a critical illness plan?

A: A critical illness plan pays a lump sum amount upon diagnosis of specific life-threatening diseases like cancer, heart attack, kidney failure, or stroke. The payout can be used for treatment, income replacement, or any expense.

Q41: What is the difference between group health insurance and individual health insurance?

A: Group health insurance is provided by employers to employees under a single master policy, often with no medical tests and lower premiums. Individual health insurance is purchased personally, offers more control over coverage, and continues regardless of employment.

Q42: Does health insurance cover maternity expenses?

A: Many health insurance policies offer maternity coverage, but it usually comes with a waiting period of 9 months to 4 years. It typically covers normal delivery, cesarean delivery, and sometimes newborn care for the first 30–90 days.

Q43: What is room rent limit in health insurance?

A: Room rent limit is the maximum amount your insurer will pay per day for hospital room charges. If you opt for a room beyond the limit, the insurer may also proportionately reduce reimbursement on other charges like surgeon fees and nursing.

Motor Insurance

Q44: What is motor insurance?

A: Motor insurance is a policy that provides financial protection against losses arising from accidents, theft, natural disasters, or third-party liabilities involving your vehicle (car, two-wheeler, or commercial vehicle).

Q45: Is motor insurance mandatory in India?

A: Yes. Under the Motor Vehicles Act, 1988, at least third-party liability insurance is mandatory for all vehicles plying on public roads in India. Driving without valid insurance is a punishable offence.

Q46: What is third-party insurance?

A: Third-party insurance covers your legal liability for damages caused to a third party (another person, vehicle, or property) due to an accident involving your vehicle. It does not cover your own vehicle's damage.

Q47: What is comprehensive motor insurance?

A: Comprehensive motor insurance covers both third-party liability and own damage to your vehicle due to accidents, theft, fire, natural calamities (floods, earthquakes), and other perils. It provides broader protection than third-party insurance.

Q48: What is an own damage (OD) cover in motor insurance?

A: Own Damage cover protects your vehicle against losses caused by accidents, theft, fire, natural disasters, vandalism, and riots. It compensates for repair or replacement of your vehicle regardless of who is at fault.

Q49: What is Insured Declared Value (IDV) in motor insurance?

A: IDV is the current market value of your vehicle, used as the sum insured in motor insurance. It is calculated as the manufacturer's listed selling price minus depreciation based on the vehicle's age. IDV determines the maximum claim payout in case of total loss or theft.

Q50: How is motor insurance premium calculated?

A: The premium depends on: vehicle type and make, engine capacity, IDV, age of the vehicle, geographical zone, No-Claim Bonus (NCB), add-ons selected, and the coverage type (third-party vs comprehensive).

Q51: What is No-Claim Bonus (NCB) in motor insurance?

A: NCB is a discount on the own damage premium offered for each claim-free year. It starts at 20% after the first claim-free year and can go up to 50% after five consecutive claim-free years. NCB belongs to the owner, not the vehicle.

Q52: Can I transfer my NCB when I sell my car?

A: No, the NCB belongs to the policyholder, not the vehicle. When you sell your car, the NCB stays with you and can be transferred to your new vehicle's insurance policy within 3 years of selling the old car.

Q53: What is a zero depreciation add-on in motor insurance?

A: Zero depreciation (also called bumper-to-bumper cover) is an add-on that waives depreciation deductions on parts during claims. Without this, the insurer deducts depreciation on rubber, plastic, glass, and metal parts, reducing your payout. This add-on is available for vehicles up to 5 years old.

Q54: What happens if I meet with an accident in an uninsured vehicle?

A: Driving without insurance is illegal in India. You may face a fine of ₹2,000 for the first offence and ₹4,000 for subsequent offences, plus possible imprisonment. You'll also bear all liability for third-party damages from your own pocket.

Q55: What is a cashless garage network in motor insurance?

A: Cashless garages are authorized repair shops tied up with your insurer. If you get your vehicle repaired at a cashless garage, the insurer directly settles the bill with the garage. You only pay for the deductible and non-covered expenses.

Q56: What documents are needed to file a motor insurance claim?

A: You typically need: filled claim form, copy of the insurance policy, vehicle RC, driving licence, FIR (for theft or major accidents), photos of the damage, and repair estimate. For theft, an NOC from the police is also required.

Q57: What is a compulsory deductible in motor insurance?

A: The compulsory deductible is the mandatory amount you must bear for every claim, set by IRDAI based on engine capacity. For cars up to 1500cc, it is ₹1,000, and for cars above 1500cc, it is ₹2,000. It applies regardless of the claim amount.

Q58: What add-ons are available in motor insurance?

A: Common add-ons include: Zero Depreciation, Return to Invoice, Engine Protection, Roadside Assistance, Consumable Cover, NCB Protection, Personal Accident Cover, and Tyre Protection Cover.

Q59: What is a Return to Invoice (RTI) add-on?

A: Return to Invoice cover ensures that in case of total loss (vehicle beyond repair) or theft, you receive the original invoice price of the vehicle, not the depreciated IDV. This covers the gap between IDV and the original purchase price.

Q60: How do I renew my motor insurance policy?

A: You can renew your policy online via the insurer's website or app, through an insurance agent, or via insurance aggregator websites. Renewal should be done before the policy expiry to avoid a break in coverage, which may require a vehicle inspection.

Q61: What is engine protection cover in motor insurance?

A: Engine protection cover pays for repair or replacement of your engine and its components if damaged due to waterlogging, oil leakage, or a hydrostatic lock. Standard policies don't cover engine damage not caused by an accident.

Q62: Does motor insurance cover driving under the influence?

A: No. Motor insurance claims are rejected if the driver was under the influence of alcohol or drugs at the time of the accident. This is a standard exclusion in all motor insurance policies.

Travel Insurance

Q63: What is travel insurance?

A: Travel insurance provides financial protection against unexpected events during your trip, such as medical emergencies, trip cancellation, lost baggage, passport loss, flight delays, and personal liability abroad.

Q64: Is travel insurance mandatory?

A: Travel insurance is not mandatory in India, but it is required for obtaining a Schengen visa (for Europe). It is also highly recommended for international travel due to high medical costs abroad and other travel risks.

Q65: What does travel insurance typically cover?

A: Coverage typically includes: emergency medical expenses and hospitalization, trip cancellation/interruption, lost, stolen, or delayed baggage, passport loss, personal accident, flight delays, and personal liability.

Q66: What is not covered in travel insurance?

A: Common exclusions: pre-existing medical conditions (unless declared), self-inflicted injuries, travel to high-risk countries under government advisories, adventure sports (without specific rider), intoxication-related incidents, and war zones.

Q67: Can I buy travel insurance after booking my trip?

A: Yes, you can buy travel insurance any time before your departure. However, for trip cancellation benefits, it's best to purchase it as soon as you book your trip so that any cancellation before departure is also covered.

Q68: What is a single-trip vs multi-trip travel insurance policy?

A: A single-trip policy covers one specific journey with defined dates. A multi-trip (annual) policy covers multiple international trips within a year, usually with a cap on the duration of each trip (e.g., 30–90 days per trip). Frequent travellers benefit more from multi-trip plans.

Q69: Does travel insurance cover COVID-19?

A: Many insurers now offer COVID-19 coverage in travel insurance, including emergency medical treatment and trip cancellation due to COVID-19 diagnosis. However, coverage varies—always check the policy terms before purchasing.

Q70: What is the medical coverage limit in travel insurance?

A: Medical coverage in international travel insurance typically ranges from USD 50,000 to USD 5,00,000 depending on the plan. For high-cost countries like the USA or Singapore, opt for at least USD 1,00,000 in medical coverage.

Q71: How do I file a claim for lost baggage under travel insurance?

A: Immediately report to the airline and get a Property Irregularity Report (PIR). Then file a claim with your insurer with the PIR, boarding passes, original purchase receipts of lost items, and the insurance claim form within the stipulated time.

Q72: Does travel insurance cover pre-existing medical conditions?

A: Standard travel insurance generally excludes pre-existing conditions. Some insurers offer optional add-ons or specialized plans that cover pre-existing conditions for an additional premium after declaration and underwriting.

Home Insurance

Q73: What is home insurance?

A: Home insurance (also called property insurance) protects your home and its contents against risks like fire, theft, natural disasters, burglary, and accidental damage. It can cover the building structure, contents, or both.

Q74: What does home insurance cover?

A: Home insurance can cover: the structure of the house (walls, roof, flooring), household contents (furniture, appliances, electronics), jewellery and valuables (with specific add-ons), and liabilities to third parties injured on your property.

Q75: Is home insurance mandatory in India?

A: Home insurance is not legally mandatory in India. However, many lenders require home insurance when you take a home loan, to protect the property used as collateral against risks like fire or natural disasters.

Q76: What is the difference between home structure insurance and contents insurance?

A: Structure insurance covers the physical building—walls, roof, flooring, fixed fittings. Contents insurance covers movable possessions inside the home—furniture, electronics, appliances, and clothing. You can buy them together or separately.

Q77: What natural disasters are covered in home insurance?

A: Most standard home insurance policies cover: fire, lightning, earthquakes, floods, storms, cyclones, landslides, and subsidence. Coverage for specific events may vary, so check your policy schedule for a complete list.

Q78: Does home insurance cover theft and burglary?

A: Yes, most home insurance policies cover theft and burglary of household contents. You may need to provide a police FIR and a list of stolen items. High-value items like jewellery may have separate sub-limits or require specific add-ons.

Q79: Does home insurance cover a rented property?

A: Yes, tenants can buy home insurance to cover their personal contents in a rented property. The building structure is typically the landlord's responsibility. Some policies also offer tenant's liability cover for accidental damage to the rented property.

Claims Process

Q80: How do I file an insurance claim?

A: Step 1: Notify your insurer or agent immediately. Step 2: Fill out the claim form accurately. Step 3: Gather required documents (bills, FIR, discharge summary, etc.). Step 4: Submit to the insurer or surveyor. Step 5: Cooperate with the investigation. Step 6: Receive settlement.

Q81: What is the time limit to file a claim?

A: The time limit varies by insurance type. For health insurance, most insurers require claims to be filed within 30 days of discharge. For motor insurance, claims should be reported within 24–48 hours of the accident. Check your specific policy for exact timelines.

Q82: Why was my insurance claim rejected?

A: Common reasons for rejection: non-disclosure of material facts, policy exclusions, lapsed policy at time of claim, delayed intimation, incomplete documentation, treatment at non-network hospital without proper process, or fraudulent claims.

Q83: What is a claim settlement ratio?

A: The claim settlement ratio (CSR) is the percentage of claims settled by an insurer out of total claims received in a year. A higher CSR indicates better claim settlement practices. IRDAI publishes CSR data for all insurers annually.

Q84: What is a surveyor in insurance claims?

A: A surveyor is a licensed professional appointed by the insurer to assess and verify the extent of loss or damage in claims above ₹75,000 (as mandated by IRDAI). Their report is used by the insurer to determine the claim payout.

Q85: What can I do if my claim is unfairly rejected?

A: You can: First, file a complaint with the insurer's grievance cell. If unresolved within 30 days, approach the Insurance Ombudsman in your region. You can also file a complaint with IRDAI's Bima Bharosa portal or approach a consumer court.

Q86: What is subrogation in insurance?

A: Subrogation is the insurer's right to legally pursue a third party that caused an insurance loss to the insured. After settling your claim, the insurer can recover the amount from the at-fault third party in your name.

Q87: What is an insurance ombudsman?

A: The Insurance Ombudsman is a quasi-judicial authority appointed by the Government of India to resolve complaints against insurers quickly, cheaply, and impartially. There are 17 Ombudsman offices across India, and their decisions are binding on insurers.

Q88: What is a first information report (FIR) and when is it needed for insurance claims?

A: An FIR is a written document filed with the police about an incident. For insurance, it is required for: vehicle theft, road accidents involving injury/death, home burglary, and personal accident claims involving criminal incidents.

Q89: How long does it take for a claim to be settled?

A: As per IRDAI guidelines: health claims must be settled within 30 days of receiving all documents, and motor claims within 30 days. Surveyor report-based claims must be settled within 30 days of receiving the surveyor's report. Complex fraud cases may take longer.

Policy Management

Q90: How do I renew my insurance policy?

A: You can renew online on the insurer's website or app, through your agent, or via insurance aggregators. Review coverage before renewal and make changes if needed. Auto-renewal and renewal reminders are available with most insurers.

Q91: Can I cancel my insurance policy?

A: Yes. During the free-look period, you can cancel and get a full refund (minus nominal charges). After that, you can cancel mid-term and get a pro-rata refund on the unused premium, although some policies may charge a cancellation fee.

Q92: What happens if my insurance policy lapses?

A: If the policy lapses (due to non-payment of premium), coverage stops immediately. For life insurance, you may revive it within 2–5 years by paying outstanding premiums with interest and undergoing medical tests if required.

Q93: How do I change my nominee in an insurance policy?

A: You can update your nominee by submitting a nomination change form to your insurer with supporting documents (new nominee's ID proof, relationship proof). Many insurers also allow this online or through their mobile app.

Q94: Can I have multiple insurance policies?

A: Yes, you can hold multiple insurance policies. For life insurance, all policies pay out independently. For health and motor insurance, you cannot claim more than the actual loss across all policies (principle of indemnity), but having multiple policies can be useful for exceeding coverage limits.

Q95: How do I update my contact details in my insurance policy?

A: Log in to your insurer's website/app or visit your nearest branch. Submit a written request or update online with supporting documents (address proof, ID proof). Updated contact details ensure you receive premium reminders and policy documents timely.

Q96: What is an insurance endorsement?

A: An endorsement is an official amendment or addition made to an existing insurance policy to change its terms, coverage, or details. Common endorsements include adding a nominee, changing the vehicle owner's name, or upgrading coverage.

Q97: Can I increase my sum insured during the policy year?

A: For health insurance, sum insured can usually only be increased at renewal. For life insurance, most policies don't allow mid-term increases. Some ULIPs allow top-ups. Check with your specific insurer for applicable rules.

Premiums & Discounts

Q98: What factors affect my insurance premium?

A: Factors include: age, gender, health condition, occupation, lifestyle habits (smoking, drinking), location, type and extent of coverage, claim history, vehicle type (for motor), credit score (in some cases), and add-ons selected.

Q99: Why has my insurance premium increased at renewal?

A: Premium increases at renewal can be due to: age-related risk increase, health inflation, increase in sum insured, changes in risk profile, claims made in the previous year, revision of tariffs by IRDAI, or addition of new coverage.

Q100: How can I reduce my insurance premium?

A: Ways to reduce premium: choose higher voluntary deductible, maintain a no-claim record, buy insurance early (at a younger age), choose a family floater over individual plans, bundle policies, avoid unnecessary add-ons, and compare plans before buying.

Q101: What is a loading in insurance premium?

A: Loading is an additional charge levied on your standard premium due to higher risk factors—such as a pre-existing medical condition, hazardous occupation, or adverse driving history. It represents the extra cost to insure a higher-risk individual.

Q102: Can I pay my insurance premium in installments?

A: Yes, most insurers allow premium payment in monthly, quarterly, or semi-annual installments, though there may be a nominal processing fee. Annual payment is typically the cheapest option. Check your insurer's payment options.

Q103: What is a voluntary deductible and how does it reduce my premium?

A: A voluntary deductible is an additional amount (over the compulsory deductible) that you choose to bear in case of a claim. By opting for a higher voluntary deductible, you signal lower risk to the insurer, which reduces your premium.

Q104: Do I get any tax benefits on insurance premiums?

A: Yes. Life insurance premiums qualify for deduction under Section 80C (up to ₹1.5 lakh). Health insurance premiums qualify under Section 80D (up to ₹25,000 for self/family, ₹50,000 for senior citizens). Pension plan premiums qualify under Section 80CCC.

IRDAI & Regulations

Q105: What is IRDAI?

A: IRDAI (Insurance Regulatory and Development Authority of India) is the statutory body under the Ministry of Finance that regulates and supervises the insurance industry in India. It protects policyholders' interests and ensures the financial soundness of insurers.

Q106: How can I verify if an insurance company is genuine?

A: You can check if an insurance company is registered on the IRDAI website (irdai.gov.in). Always buy insurance from IRDAI-registered insurers. Avoid unsolicited calls or agents promising unrealistic returns.

Q107: What is the IRDAI's Bima Bharosa portal?

A: Bima Bharosa (formerly IGMS) is IRDAI's integrated grievance management portal where policyholders can register, track, and escalate complaints against insurance companies. It is accessible at bimabharosa.irdai.gov.in.

Q108: What is the free-look period mandated by IRDAI?

A: IRDAI mandates a free-look period of 15 days for regular insurance policies and 30 days for policies sold through distance marketing (online/phone). During this period, you can return the policy if unsatisfied and receive a refund of the premium paid.

Q109: What is the Insurance Ombudsman scheme?

A: The Insurance Ombudsman scheme provides a cost-free, quick resolution mechanism for insurance disputes. There are 17 Ombudsman offices across India. Any policyholder can file a complaint if the insurer has not resolved the grievance within 30 days.

Life Insurance – Advanced

Q110: What is a money-back plan?

A: A money-back plan is a life insurance policy where you receive a percentage of the sum assured at regular intervals during the policy term (survival benefits), and the remaining amount is paid at maturity. It provides liquidity along with life protection.

Q111: What is an annuity plan?

A: An annuity (pension) plan is a contract where you pay a lump sum or regular premiums, and the insurer pays you a fixed income (pension) periodically after a specified age. It is used to fund retirement and ensure a regular income stream.

Q112: What is a waiver of premium rider?

A: A waiver of premium rider ensures that if you become permanently disabled or critically ill and are unable to earn, your future premiums are waived while your policy coverage continues. It keeps your insurance intact during financial hardship.

Q113: What is a critical illness rider in life insurance?

A: A critical illness rider is an add-on that pays a lump sum upon diagnosis of specified serious diseases (cancer, heart attack, stroke, organ failure, etc.). This payout is separate from the life insurance death benefit and can be used for treatment or income replacement.

Q114: What is the assignment of a life insurance policy?

A: Assignment is the legal transfer of rights (including claim payout) in a life insurance policy from the policyholder (assignor) to another person or entity (assignee). It is often done when a policy is pledged as collateral for a loan.

Q115: What is a revival of a lapsed life insurance policy?

A: Revival allows you to restart a lapsed policy by paying all overdue premiums with applicable interest, within a specified revival period (usually 2–5 years from lapsing). You may need to undergo a fresh medical examination depending on the insurer and time elapsed.

Q116: What is the difference between participating and non-participating policies?

A: Participating policies share in the insurer's profits through bonuses (reversionary or terminal), while non-participating policies offer fixed, predetermined benefits without any bonuses. Participating plans may offer higher long-term value but involve variability.

Q117: What is a reversionary bonus in life insurance?

A: A reversionary bonus is an addition to the sum assured declared by the insurer at the end of each financial year, based on the insurer's performance. Once declared, it is guaranteed and is paid at maturity or death, whichever comes first.

Q118: Can I take a loan against my life insurance policy?

A: Yes, you can take a loan against traditional life insurance policies (endowment, money-back, whole life) after the policy acquires a surrender value (usually after 2–3 years of premium payment). The loan amount is typically 80–90% of the surrender value.

Q119: What is the difference between life insurance and general insurance?

A: Life insurance covers the risk of death and provides a payout to nominees or the policyholder on the occurrence of defined events (death, maturity, disability). General insurance covers all other risks—health, motor, property, travel—and operates on an annual renewable basis.

Health Insurance – Advanced

Q120: What is a super top-up health insurance plan?

A: Unlike a regular top-up (which covers a single claim exceeding the deductible), a super top-up plan covers the aggregate of all claims in a year once they exceed the deductible limit. It is better for multiple hospitalizations in a year.

Q121: What is an OPD cover in health insurance?

A: Out-Patient Department (OPD) cover pays for doctor consultations, diagnostic tests, and medicines without hospitalization. While not standard in all policies, OPD coverage is increasingly being offered as a rider or as part of comprehensive plans.

Q122: What is a daycare procedure in health insurance?

A: Daycare procedures are medical treatments that don't require 24-hour hospitalization due to advanced technology (e.g., cataract surgery, dialysis, chemotherapy, angiography). Most health insurance policies cover daycare procedures—typically around 540+ procedures.

Q123: What is the restoration benefit in health insurance?

A: Restoration benefit automatically reinstates your sum insured (fully or partially) after it is exhausted by a claim within the same policy year, for subsequent unrelated illnesses. It is very useful for family floater plans.

Q124: What is an unlimited restoration benefit?

A: Unlimited restoration means the sum insured is restored as many times as it is exhausted during the policy year. This is a premium feature in top-end health plans, ideal for families with multiple hospitalization risks in a year.

Q125: What is the difference between mediclaim and health insurance?

A: Mediclaim is a type of health insurance that specifically covers hospitalization expenses. Health insurance is a broader category that includes mediclaim, critical illness plans, top-up plans, disease-specific plans, and senior citizen plans. All mediclaims are health insurance, but not all health insurance policies are mediclaims.

Q126: Does health insurance cover AYUSH treatments?

A: Yes, as per IRDAI guidelines, health insurance policies must cover AYUSH (Ayurveda, Yoga, Unani, Siddha, Homeopathy) treatments in authorized AYUSH hospitals. However, coverage limits and eligible treatments may vary by policy.

Q127: What is hospital daily cash benefit in health insurance?

A: Hospital daily cash is a fixed daily allowance paid for each day of hospitalization, regardless of actual medical expenses. It can be used for incidental expenses like food, transportation, and attendant costs. It is offered as a rider in many health plans.

Q128: What is domiciliary hospitalization in health insurance?

A: Domiciliary hospitalization covers medical treatment taken at home when the patient cannot be moved to a hospital or when hospital beds are unavailable. The treatment must be recommended by a doctor and last for at least 3 consecutive days to be eligible.

Q129: What is the cumulative bonus in health insurance?

A: The cumulative bonus is an increase in sum insured (without additional premium) for each claim-free year—typically 5–50% of the base sum insured. Unlike NCB in motor insurance which is a discount, health insurance cumulative bonus increases the coverage amount.

Two-Wheeler Insurance

Q130: Is two-wheeler insurance mandatory?

A: Yes, third-party two-wheeler insurance is mandatory under the Motor Vehicles Act in India. Riding without at least third-party cover can result in a fine of ₹2,000 and potential imprisonment.

Q131: What is covered in two-wheeler insurance?

A: Third-party insurance covers damages to third parties. Comprehensive two-wheeler insurance additionally covers: own damage due to accidents, theft, fire, natural calamities, and man-made disasters. Add-ons like zero depreciation, roadside assistance, and consumable cover can be added.

Q132: How do I transfer two-wheeler insurance when I sell my bike?

A: The existing insurance policy is transferred to the new owner along with the vehicle's RC. The new owner must inform the insurer within 14 days of the transfer. A fresh third-party policy is mandatory; the comprehensive policy transfer may require a separate request.

Q133: Does two-wheeler insurance cover pillion riders?

A: Third-party insurance covers legal liability for injuries to pillion riders. Additionally, you can add a Personal Accident cover for the pillion rider as a rider in your comprehensive policy, which provides compensation for death or disability of the pillion rider.

Senior Citizen Insurance

Q134: Can senior citizens get health insurance?

A: Yes, IRDAI mandates insurers to offer health insurance to senior citizens up to age 65, and several insurers offer plans specifically designed for seniors up to age 80 or 85. Premiums are higher, and there may be mandatory health check-ups before issuance.

Q135: What should senior citizens look for in a health insurance plan?

A: Key features to look for: low or no waiting period for pre-existing diseases, high sum insured, no co-payment clause, no room rent sub-limit, coverage for AYUSH treatments, domiciliary care, home nursing, and a wide hospital network.

Q136: Are there any age limits for life insurance?

A: Most term insurance plans have a maximum entry age of 60–65 years and a maximum maturity age of 75–85 years. Whole life and endowment plans may offer coverage up to age 99–100. Senior citizens can also consider annuity plans for retirement income.

Q137: What is the premium for senior citizen health insurance?

A: Senior citizen health insurance premiums are significantly higher due to higher health risk and frequency of claims. Premiums can range from ₹25,000 to ₹1,00,000+ per year depending on age, medical history, coverage amount, and the insurer. Comparing plans is essential.

Digital & Online Insurance

Q138: Is it safe to buy insurance online?

A: Yes, buying insurance online from IRDAI-registered insurers is safe and often cheaper (no agent commission). Use only official insurer websites or IRDAI-approved aggregators. Verify the insurer's registration on the IRDAI website before purchasing.

Q139: What is an e-insurance account (eIA)?

A: An e-Insurance Account (eIA) is a digital repository (like a demat account for shares) where all your insurance policies—life, health, motor—are stored in electronic form. Managed by Insurance Repositories approved by IRDAI, it simplifies policy management and reduces paperwork.

Q140: Can I buy insurance on a mobile app?

A: Yes, most major insurers have mobile apps where you can buy, renew, and manage policies, file claims, download policy documents, and contact customer support. Ensure you use the insurer's official app (download from Play Store/App Store).

Q141: Is online insurance cheaper than agent-bought insurance?

A: Online insurance is often 10–30% cheaper than agent-sold policies because it eliminates agent commission costs. The coverage and policy terms are the same. Online buying also allows easy comparison across multiple insurers.

Q142: What is a digital health card in insurance?

A: A digital health card (also called e-health card) is a digital version of your health insurance card stored on your insurer's app or digital wallet. It is used for cashless hospitalization at network hospitals and contains your policy number, sum insured, and validity details.

Business & Commercial Insurance

Q143: What is business insurance?

A: Business insurance protects companies and their assets against losses arising from property damage, legal liability, employee-related risks, and business interruptions. Common types include fire insurance, public liability, professional indemnity, and workers' compensation.

Q144: What is professional indemnity insurance?

A: Professional indemnity insurance protects professionals (doctors, lawyers, architects, consultants, IT professionals) against claims of negligence, error, or omission in the course of their professional services. It covers legal defense costs and compensation payouts.

Q145: What is public liability insurance?

A: Public liability insurance covers your legal liability for bodily injury or property damage caused to third parties (customers, visitors, or public) as a result of your business operations or at your business premises.

Q146: What is fire insurance?

A: Fire insurance protects buildings, machinery, stock, and other assets against losses caused by fire and associated perils like lightning, explosion, and riot. It is one of the fundamental commercial insurance policies for businesses.

Q147: What is a marine cargo insurance?

A: Marine cargo insurance covers goods and merchandise against loss or damage while being transported by sea, air, road, or rail. It is essential for importers, exporters, and traders who ship goods domestically or internationally.

Fraud Prevention & Awareness

Q148: How do I identify insurance fraud or a fake policy?

A: Red flags include: unsolicited calls promising unrealistic returns, agents asking for cash payments, policies without a proper policy document or receipt, premiums collected without official receipt, and insurers not registered with IRDAI. Always verify on irdai.gov.in.

Q149: What should I do if I receive a fake insurance call?

A: Do not share personal, financial, or OTP details. Disconnect the call. Report to IRDAI's consumer helpline (155255 or 1800-4254-732), the telecom regulator (TRAI), and your local police. You can also report on the Sanchar Saathi portal.

Q150: Is mis-selling of insurance policies common? How do I avoid it?

A: Mis-selling is common—agents may exaggerate benefits, hide exclusions, or misrepresent a product as a different type (e.g., presenting a ULIP as a fixed deposit). Always: read the policy document, ask for a benefit illustration, use the free-look period, and verify through official channels.

Q151: What is insurance fraud and what are its consequences?

A: Insurance fraud involves dishonest acts like filing false claims, hiding material facts, staging accidents, or providing forged documents to gain insurance benefits. It is a criminal offence under the IPC and the Insurance Act, punishable by claim rejection, policy cancellation, and prosecution.

Q152: What is a ghost broker in insurance?

A: A ghost broker is a fraudulent person who sells fake insurance policies, often at cheaper prices, through unofficial channels (WhatsApp, social media). The policies appear real but are never registered with the insurer, leaving buyers unprotected when they file a claim.

Miscellaneous

Q153: What is the principle of utmost good faith in insurance?

A: Utmost good faith (*uberrimae fidei*) is a fundamental principle requiring both the insurer and the insured to disclose all material facts truthfully and completely during policy issuance. Concealment of material facts can result in policy cancellation or claim rejection.

Q154: What is the principle of insurable interest?

A: Insurable interest means you must have a financial stake in the subject matter being insured—you must stand to suffer a financial loss if the insured event occurs. For example, you can insure your own life, your family members' lives, your own vehicle, or your own property.

Q155: What is the principle of indemnity in insurance?

A: The principle of indemnity states that insurance should only restore you to the financial position you were in before the loss—not provide a profit. This principle applies to general insurance (health, motor, property) but not to life insurance (which pays a fixed benefit).

Q156: What is the principle of contribution in insurance?

A: The contribution principle applies when you have multiple insurance policies covering the same risk. If you make a claim, each insurer contributes proportionately to the total payout, ensuring you don't profit more than your actual loss.

Q157: What is a floater policy?

A: A floater policy is a type of insurance that covers multiple assets or persons under a single sum insured. In health insurance, a family floater covers all family members. In property insurance, a floater covers multiple items at different locations.

Q158: What is group insurance?

A: Group insurance provides coverage to a group of people (employees, association members, bank customers) under a single master policy. It is typically cheaper than individual policies and may not require medical underwriting. The group organizer (employer) usually holds the master policy.

Q159: What is key person insurance?

A: Key person insurance is a business-oriented life/disability insurance policy taken by a company on a key employee (CEO, founder, critical technician) whose death or disability would cause significant financial loss to the business. The business is both the policyholder and the beneficiary.

Q160: What is liability insurance?

A: Liability insurance covers your legal responsibility to pay for damages or injuries you cause to third parties. Types include public liability, professional indemnity, product liability, employer's liability, and directors & officers (D&O) liability insurance.

Q161: What is an insurance agent vs an insurance broker?

A: An insurance agent represents one specific insurer and sells only their products. An insurance broker is an independent professional who represents the customer, compares products from multiple insurers, and recommends the most suitable plan. Brokers must be IRDAI-registered.

Q162: What is a policy bond in insurance?

A: A policy bond is the original official policy document issued by the insurer after you purchase an insurance policy. It contains all terms, conditions, coverage details, exclusions, and the schedule of insurance. Keep it safely as it is the legal proof of your insurance contract.

Q163: What is the difference between insurance and assurance?

A: Insurance covers events that may or may not happen (e.g., accident, theft, illness). Assurance covers events that will definitely happen (e.g., death). In practice, life insurance is often called life assurance because death is certain; only the timing is uncertain.

Q164: What is an insurance rider?

A: A rider is an optional add-on benefit that you can attach to your base insurance policy for additional protection, usually at a small extra premium. Common riders include accidental death benefit, critical illness, waiver of premium, hospital cash, and disability income.

Q165: Can NRIs buy insurance in India?

A: Yes, Non-Resident Indians (NRIs) can purchase life, health, and general insurance policies in India. Premium payments can be made through NRE or NRO accounts. Tax benefits under Section 80C and 80D are available if the NRI pays taxes in India.

Q166: What is a lien in life insurance?

A: A lien in life insurance is a condition applied during the initial years of a policy (usually 1–2 years) where the full sum assured is not paid in case of natural death—only premiums paid or a reduced sum is returned. It protects insurers from anti-selection for high-risk lives.

Q167: What is a grace period in insurance?

A: A grace period is the additional time allowed after the premium due date to pay the premium without the policy lapsing. For life insurance, the grace period is typically 30 days for annual/quarterly/half-yearly modes and 15 days for monthly mode.

Q168: What is first-party vs third-party insurance?

A: First-party insurance (like health, home, or comprehensive auto insurance) covers the policyholder's own losses. Third-party insurance covers damages or injuries that the policyholder causes to other people (third parties). Motor third-party insurance is mandatory in India.

Q169: What happens to my insurance if the insurance company goes bankrupt?

A: If an insurer becomes insolvent in India, IRDAI initiates a merger with another insurer or takes control to protect policyholders. The Insurance Act provides mechanisms to protect policyholders' interests. Unlike bank deposits, insurance policies are not directly covered by deposit insurance.

Q170: What is an insurance prospectus?

A: An insurance prospectus is a document provided to potential policyholders before purchase, summarizing the key features, benefits, exclusions, and terms of an insurance product. It helps consumers make an informed decision before committing to a policy.

Q171: What is a participating vs non-participating insurance plan?

A: Participating plans share in the insurer's profits through bonuses (e.g., reversionary bonus, terminal bonus), providing potentially higher long-term returns. Non-participating plans offer guaranteed, fixed benefits without any profit-sharing. Term insurance is typically non-participating.

Q172: What is the concept of moral hazard in insurance?

A: Moral hazard refers to the tendency of insured individuals to take on more risk because they are protected by insurance. For example, a person with comprehensive health insurance may be less careful about their health, or someone with vehicle insurance may drive less cautiously.

Q173: What is micro-insurance?

A: Micro-insurance provides low-cost, simple insurance products targeted at low-income populations who otherwise lack access to financial protection. Products include life, health, crop, and livestock insurance with minimal documentation and affordable premiums.

Q174: What is crop insurance in India?

A: Crop insurance protects farmers against financial losses due to crop failure caused by natural calamities (drought, flood, pest attack, disease). The Pradhan Mantri Fasal Bima Yojana (PMFBY) is India's flagship government-backed crop insurance scheme with subsidized premiums.

Q175: What is PM Jan Arogya Yojana (Ayushman Bharat)?

A: Ayushman Bharat – Pradhan Mantri Jan Arogya Yojana (PM-JAY) is the world's largest government-funded health insurance scheme, providing coverage up to ₹5 lakh per family per year for secondary and tertiary hospitalization to over 10 crore poor and vulnerable families in India.

Claims – Edge Cases & Situations

Q176: What happens if I meet with an accident in someone else's car?

A: If you drive someone else's car with their permission, the vehicle's third-party insurance covers third-party liabilities. Your own injuries may not be covered unless the vehicle's policy includes a PA rider for drivers, or you hold your own personal accident policy.

Q177: What if the other driver in an accident doesn't have insurance?

A: If the at-fault driver is uninsured, claim your own damage under your comprehensive policy. For compensation from the uninsured driver, approach the Motor Accident Claims Tribunal (MACT). Hit-and-run victims can claim from the Solatium Fund managed by state governments.

Q178: Can I claim insurance for a pothole-damaged vehicle?

A: Yes, pothole damage is covered under comprehensive motor insurance as accidental damage. Photograph the pothole and damage, report to the insurer within 24–48 hours, and submit the vehicle to a network garage for assessment.

Q179: Does health insurance cover emergency treatment abroad?

A: Standard domestic health insurance generally does not cover treatment outside India. You need international travel insurance for overseas medical coverage. Some premium plans offer international emergency cover as a built-in benefit or add-on—verify in your policy schedule before travelling.

Q180: What if I was hospitalized during the waiting period?

A: Hospitalization for illnesses under the waiting period will result in claim rejection for that condition. However, accidental injuries are covered from day one regardless of the waiting period in most health plans.

Q181: Can I claim the same accident under both health and personal accident insurance?

A: Yes. Health insurance reimburses hospitalization costs, while a personal accident policy pays a fixed lump sum for death or disability. Since personal accident policies are not subject to the indemnity principle, you can receive payouts from both independently.

Q182: My vehicle was stolen from a parking lot. Is it covered?

A: Yes. Immediately file an FIR, notify your insurer within 24–48 hours, and submit all vehicle keys and the RC book. The insurer settles the claim after the police issues a non-traceable report, typically after 90 days of investigation.

Q183: A tree fell on my car during a storm. Is it covered?

A: Yes, damage from falling trees due to storms is covered under the natural calamity clause in a comprehensive motor insurance policy. Photograph the scene and damage, then file a claim and get the vehicle assessed at an authorized garage.

Q184: What if I disagree with the insurance surveyor's damage assessment?

A: Request a re-survey or appoint an independent licensed surveyor at your own cost. If unresolved, escalate to the insurer's grievance cell, then to the Insurance Ombudsman or consumer court.

Q185: Is flood damage to my home covered by home insurance?

A: Flood damage is covered under most standard home insurance policies as a natural calamity. However, some policies exclude it in high-risk flood zones or require a specific add-on. Confirm flood coverage explicitly before purchasing your policy.

Life Situations & Insurance

Q186: I just got married. How should I update my insurance?

A: Update your nominee across all policies, add your spouse to your health insurance, review your life insurance coverage for new financial responsibilities, and consider a joint home loan protection plan if buying a property together.

Q187: I just had a baby. What insurance should I get?

A: Add the newborn to your family floater health plan within 90 days of birth. Increase your life insurance sum assured, consider a child education plan (ULIP or endowment), and review your personal accident and disability coverage.

Q188: I am self-employed. What insurance do I need?

A: Buy comprehensive health insurance (no employer cover), adequate life insurance, disability or income protection cover, professional indemnity if applicable, and ensure your motor and home assets are insured.

Q189: I am planning to retire soon. How should I review my insurance?

A: Ensure life cover is adequate for your spouse's needs, buy a senior citizen health plan, set up an annuity for regular retirement income, and close unnecessary policies to reduce premiums during fixed-income retirement years.

Q190: I am buying a home. What insurance do I need?

A: Get a home loan protection plan (term cover linked to outstanding loan), home structure and contents insurance, and fire insurance (often required by lenders). Review the lender's mandatory insurance requirements before closing.

Q191: My parent is seriously ill. Can I add them to my health plan?

A: If they are within the eligible age (usually up to 60–65), you can add parents to a family floater. Otherwise, buy a separate senior citizen health plan. Pre-existing conditions will attract a waiting period, and premiums will be higher for elderly parents.

Q192: I lost my job. What happens to my employer health insurance?

A: Group health cover ends when you leave the job. Immediately buy an individual health policy to avoid a coverage gap. Use the portability option to carry forward accumulated benefits and avoid a fresh waiting period.

Q193: I am going abroad for higher studies. What insurance do I need?

A: Purchase international student health insurance (often university-mandated), travel insurance for the journey, and adequate life cover if you have dependents. Some student plans also cover academic interruption and personal liability.

Q194: I started a home-based business. Is my home insurance sufficient?

A: No. Standard home insurance does not cover business activities. You need a separate home-based business policy or commercial general liability insurance to cover business equipment, client visits, and professional liability.

Q195: My vehicle was in a flood. How do I claim insurance?

A: Do NOT start a waterlogged engine—it causes a hydrostatic lock and voids your claim. Notify the insurer immediately, photograph everything, and tow (do not drive) the vehicle to a network garage. Engine Protection add-on covers engine damage; without it, the engine may be excluded.

Comparison & Buying Tips

Q196: How do I compare insurance policies before buying?

A: Compare: premium vs coverage, claim settlement ratio (CSR), network hospital/garage size, waiting periods and exclusions, add-ons available, app and digital service quality, and IRDAI registration. Use insurance aggregator websites for side-by-side comparisons.

Q197: Should I buy insurance from a bank or an insurance company?

A: Banks offer limited product choices tied to their partner insurers. Buying directly from an insurer's website or through an IRDAI-registered independent broker gives you wider product options, unbiased advice, and often better pricing.

Q198: What should I read before signing an insurance policy?

A: Read: the policy schedule, all exclusions, the definitions section, network hospital/garage list, claim process and timelines, grievance mechanism, and the terms and conditions in full. Use the free-look period to return the policy if any clause is unsatisfactory.

Q199: Is a lower premium always better when choosing insurance?

A: Not necessarily. Low premiums often mean limited coverage, more exclusions, higher co-pays, sub-limits, or poor claim settlement. Always evaluate the coverage-to-premium ratio and the insurer's claim settlement track record alongside the price.

Q200: How often should I review my insurance portfolio?

A: Review annually and after major life events—marriage, childbirth, home purchase, job change, income increase, or retirement. Regular reviews ensure your coverage remains aligned with your current risk profile and financial responsibilities.